Bank to raise the payment to the government—much to the consternation of Governor Reddy—and as governor, I resisted similar pressures.

The standard argument of the government is that the Reserve Bank is far too conservative in its estimate of contingent liabilities and is building reserves beyond any reasonable requirement. The Reserve Bank's position has been that the reserves are being built as per a formula recommended by a technical committee which took into consideration, among other things, the point that the Reserve Bank's income can be quite volatile, dependent as it is on both domestic and global macroeconomic developments. No more is being put away, the Reserve Bank maintains, than is required by minimum levels of prudence. These arguments go on every year and a settlement is reached with both sides showing some flexibility. It is notable though that even as this issue is contentious, it has never turned acrimonious.

Central banks are typically apprehensive about threats to their balance sheets for mainly two reasons. Even though they can almost always discharge their financial obligations by creating money if necessary, large exposures and sustained losses can weaken their ability to conduct policy effectively. Second, mounting losses can make it necessary for a central bank to approach its government for capital infusion. This is a contingency that a central bank wants to avoid, as negotiation with the government could erode its independence. This might look like paranoia but some central banks, more so, surprisingly, central banks in mature democracies, take this threat quite seriously.

In India though, even as the autonomy of the Reserve Bank is an issue, the amount of surplus transfer or the capital requirement of the Reserve Bank have never been variables in defining the government–central bank relationship.

Government Intrusion into Bank Regulation

The Reserve Bank is the regulator of banks, while the government owns as much as 70 per cent of the banking system. This has been another area for friction between the government and the Reserve Bank.